

CAVENDISH PRIVATE WEALTH

GROUP COMPLIANCE · ADVICE, PORTFOLIO MANAGEMENT AND PLATFORM

Operational Resilience and Conduct Control Requirements

Digital operational resilience, market conduct and retail outcomes across the UK and EU entities. Derived control requirements and acceptance criteria for the advice, dealing and client reporting platforms.

ILLUSTRATIVE EXAMPLE — NOT AN OFFICIAL TEXT

This document is an **authored illustrative example**, produced to demonstrate automated requirement generation and test design. Cavendish Private Wealth is a fictional firm. The document control block, ownership, reference numbers and revision history are invented.

It is **not** a copy, extract or reproduction of any official regulatory text, and it is not legal or compliance advice. Citations are given so that the reader can consult the official source directly. Regulatory positions stated here were compiled on 25 September 2026 and are not maintained.

Do not rely on this document for any compliance purpose.

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Status	Approved for delivery use
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Applies to	Advice and suitability, discretionary portfolio management, order handling and execution, client reporting and costs disclosure, and the ICT estate supporting those functions

1. Purpose and scope

This document covers three regimes that together determine how the firm's platforms must behave: the digital operational resilience regime applying to the EU entities, the market conduct regime derived from MiFID II, and the retail outcomes regime applying to the UK entities.

The dominant complication is jurisdiction. Through 2025 and 2026 the UK and EU positions diverged materially on matters this firm depends on: the organisational regulation was repealed in the UK and rewritten into the Handbook, the packaged product disclosure regime was replaced, and the research payment and order flow rules moved in different directions. A test matrix that treats “MiFID II” as a single regime will produce false passes on one side of the channel or the other. Every control in Part B is therefore labelled by jurisdiction.

In scope: the client onboarding and categorisation service, the suitability and appropriateness engines, the order management and execution service, the costs and charges disclosure engine, the client reporting service, the communications recording estate, and the ICT risk, incident and third-party management functions supporting them.

Out of scope: the firm's own corporate finance activity, and the custody and settlement functions, which are covered by CPW-CR-2026-033.

2. Regulatory basis

Instrument	Citation	Status	Dates that govern delivery
Digital Operational Resilience Act	Regulation (EU) 2022/2554	Applies	Applied from 17 January 2025. The second level of implementing measures is complete and adopted.
Incident reporting content and deadlines	Commission Delegated Regulation (EU) 2025/301; forms in Implementing Regulation (EU) 2025/302	In force	Adopted 23 October 2024. Sets the initial, intermediate and final reporting clocks.
Register of information template	Commission Implementing Regulation (EU) 2024/2956	In force	2026 cycle: reference date 31 December 2025, submission window 11 February to 31 March 2026. National windows vary.
ICT subcontracting; threat-led penetration testing	Commission Delegated Regulations (EU) 2025/532 and (EU) 2025/1190	In force	Adopted 24 March 2025 and 13 February 2025 respectively. First three-year testing cycles run to 2027 and 2028.
MiFID II and MiFIR	Directive 2014/65/EU; Regulation (EU) No 600/2014	Applies	Applied from 3 January 2018. Amended by the review package, Regulation (EU) 2024/791 and Directive (EU) 2024/790.

Instrument	Citation	Status	Dates that govern delivery
Order execution policies	Commission Delegated Regulation (EU) 2026/825	In force, not yet applicable	Adopted 14 April 2026, published 23 July 2026, in force 12 August 2026, applies from 12 February 2028 . Repeals the former execution quality and top-venue reporting standards.
UK organisational and conduct rules	FCA Handbook SYSC and COBS, following PS25/13	In force	The MiFID organisational regulation was revoked and its firm-facing requirements restated in the Handbook, both effective 23 October 2025. The amended durable medium definition applies from 12 January 2026.
UK consumer composite investments	FCA Handbook Product Disclosure sourcebook, following PS25/20	Transitioning	Legislation commenced 6 April 2026. Implementation period runs from 8 December 2025 to full application on 8 June 2027. Replaces the packaged retail investment product regime and the fund disclosure requirements.
FCA Consumer Duty	Principle 12 and FCA Handbook PRIN 2A	In force	Open products from 31 July 2023, closed products from 31 July 2024. Clarifying instrument in force 26 June 2026.

Three claims that are commonly made and are wrong at the compilation date.

First, the new order execution policy standard **is in force but does not apply until 12 February 2028**. Building to it now is a choice; presenting it as a current obligation is an error.

Second, the transaction reporting technical standard is **unchanged**. The supervisory review concluded in June 2025 proposed no amendments, opting instead for a wider cross-regime review. Any statement that new reporting fields landed in 2025 or 2026 is wrong.

Third, the retail investment package is **agreed but not adopted**. Publication is expected by January 2027 at the latest, with application expected around July 2029. It must not be presented as current law.

3. Control requirements — Part A: digital operational resilience

These controls apply to the EU entities. The UK entities are subject to the separate operational resilience regime, not covered by this extract.

OR-01 Initial notification of a major incident

Commission Delegated Regulation (EU) 2025/301, Article 5

The initial notification of a major incident must be submitted within four hours of classification as major, and in any event no later than twenty-four hours from becoming aware of the incident.

ACCEPTANCE CRITERIA

Both clocks are enforced and the earlier of the two governs. An incident becoming known at 08:00 and classified as major at 20:00 is due at midnight, not at 08:00 the following day. Classification more than twenty hours after awareness must not push the deadline beyond the twenty-four-hour limit.

OR-02 Intermediate and final reports

Commission Delegated Regulation (EU) 2025/301, Article 5

An intermediate report follows within seventy-two hours of the initial notification, and a final report no later than one month after the intermediate report or the latest updated intermediate report.

ACCEPTANCE CRITERIA

The intermediate clock starts from the initial notification, not from the incident. Where an updated intermediate report is filed, the final report deadline is recomputed from the latest update. A final report clock that continues to run from the first intermediate report is a failure.

OR-03 Suppression of the deadline extension for specified entity types

Commission Delegated Regulation (EU) 2025/301, Article 5

The extension of reporting deadlines over weekends and public holidays does not apply to credit institutions, central counterparties, trading venue operators, or entities classified as essential or important under the network and information security regime.

ACCEPTANCE CRITERIA

An incident arising on a Saturday at an entity of an excluded type produces the same deadline as one arising on a Tuesday. For entity types that do benefit from the extension, the extension is applied. The entity type is read from configuration, and changing an entity's type changes the behaviour without a code change.

OR-04 Classification against the materiality thresholds

Regulation (EU) 2022/2554 Article 18; Commission Delegated Regulation (EU) 2024/1772

Incidents must be classified as major or not against the prescribed materiality criteria, and only major incidents are reported.

ACCEPTANCE CRITERIA

A seeded incident at each threshold boundary classifies correctly on both sides. A non-major incident is logged and retained but generates no report. A major incident is logged and routed for reporting. An incident that changes classification after initial assessment re-enters the reporting path with the clocks set from the correct trigger.

OR-05 Annual testing of systems supporting critical or important functions

Regulation (EU) 2022/2554 Article 24(6)

All ICT systems and applications supporting critical or important functions must be tested at least yearly.

ACCEPTANCE CRITERIA

Every system on the critical or important register has a completed test within the trailing twelve months. A system with no test in that window raises an exception naming the system and the gap. Adding a system to the register starts its clock immediately rather than at the next annual cycle.

OR-06 Independence of testers

Regulation (EU) 2022/2554 Article 24(5)

Testing must be undertaken by independent parties, whether internal or external.

ACCEPTANCE CRITERIA

Each test record names the testing party and carries a conflict-of-interest attestation. A test recorded as performed by the team that owns the system under test is rejected at capture rather than at audit.

OR-07 Threat-led penetration testing cycle

Regulation (EU) 2022/2554 Article 26; Commission Delegated Regulation (EU) 2025/1190

In-scope entities must undergo threat-led penetration testing at least every three years, using external testers at least every third test, with the competent authority's attestation retained against each test.

ACCEPTANCE CRITERIA

The three-year clock is enforced per entity. The external-tester rule is enforced on the sequence, not on the calendar: the third consecutive internal test is refused. An attestation is stored against every completed test, and a test with no attestation does not satisfy the cycle.

OR-08 Annual testing of response, recovery and continuity plans

Regulation (EU) 2022/2554 Article 11(6)

Response and recovery plans and business continuity plans must be tested at least annually.

ACCEPTANCE CRITERIA

A last-tested date is held against every plan, and a plan passing twelve months without a test raises an alert. A plan created and never tested is treated as overdue from creation, not as compliant until its first anniversary.

OR-09 Segregated restoration environment and backup policy

Regulation (EU) 2022/2554 Article 12

Data restoration must use ICT systems that are physically and logically segregated from the source system. The backup policy must record the scope of data covered and the minimum backup frequency by criticality and confidentiality. Entities other than microenterprises must maintain redundant ICT capacity.

ACCEPTANCE CRITERIA

A restoration exercise runs into the segregated environment and completes without the source system being reachable from it. Every data set on the register carries a recorded backup scope and frequency derived from its criticality classification. A data set with no classification cannot be registered.

OR-10 Register of information completeness and submission

Regulation (EU) 2022/2554 Article 28(3); Commission Implementing Regulation (EU) 2024/2956

A register of information covering all contractual arrangements for the use of ICT services must be maintained at entity, sub-consolidated and consolidated level, and reported to the competent authority at least yearly.

ACCEPTANCE CRITERIA

The register validates against the current template without error before submission. Every ICT contract in the procurement system appears in the register, and every register entry resolves to a contract. Validation rules have tightened between cycles, so a register accepted in a previous year is revalidated against the current rules rather than assumed valid.

OR-11 Exit strategy for every critical or important ICT service

Regulation (EU) 2022/2554 Article 28(8)

Exit strategies must be in place for ICT services supporting critical or important functions.

ACCEPTANCE CRITERIA

Every contract flagged as supporting a critical or important function carries a linked exit strategy document. Flagging a contract as critical without an exit strategy raises an exception at the point of flagging. Removing the exit strategy while the flag remains re-raises it.

4. Control requirements — Part B: market conduct

Each control is labelled by jurisdiction. Controls marked *Both* are substantively equivalent across the UK and EU entities but resolve to different source rules, which matters for how a failure is cited.

MC-01 Suitability assessment before advice or discretionary management — Both

MiFID II Article 25(2) and 25(6); UK: FCA Handbook COBS

Where investment advice or portfolio management is provided, the firm must obtain the client's knowledge and experience, financial situation including ability to bear losses, and investment objectives including risk tolerance, and must provide a retail client with a suitability report.

ACCEPTANCE CRITERIA

A recommendation cannot be issued while any of the three information categories is missing or stale beyond the defined period. The suitability report is produced before the transaction, not after it, and a transaction proceeding without a report is blocked. A client whose ability to bear losses is recorded as nil cannot be recommended a loss-bearing instrument.

MC-02 Appropriateness assessment for non-advised complex instruments — Both

MiFID II Article 25(3) and 25(4); Commission Delegated Regulation (EU) 2017/565 Article 56; UK: FCA Handbook COBS

For non-advised services in complex instruments, the firm must assess whether the service is appropriate and warn the client where it is not. The execution-only exemption is available only for non-complex instruments and subject to the stated conditions.

ACCEPTANCE CRITERIA

A complex instrument triggers the assessment; a non-complex instrument on an execution-only basis does not. Where the assessment concludes the service is inappropriate, the warning is displayed and the client's decision to proceed is recorded. The instrument complexity classification is data-driven and a newly added instrument defaults to complex rather than to non-complex.

MC-03 Costs and charges disclosed before the transaction — Both

MiFID II Article 24(4); Commission Delegated Regulation (EU) 2017/565 Article 50; UK: FCA Handbook COBS

Aggregated information on all costs and associated charges, covering both the service and the instrument and including third-party payments, must be provided in good time before the transaction, expressed in cash terms and as a percentage, with an illustration of the cumulative effect on return.

ACCEPTANCE CRITERIA

The disclosure precedes the point of no return in the journey. It aggregates service and instrument costs into a single figure rather than presenting them only as components. Both a cash amount and a percentage are present. The cumulative effect illustration is present. A disclosure omitting third-party payments is a failure even where the total is otherwise correct.

MC-04 Annual statement of actual costs — Both

MiFID II Article 24(4); Commission Delegated Regulation (EU) 2017/565 Article 50; UK: FCA Handbook COBS

Clients with an ongoing relationship must receive an annual statement of the costs and charges actually incurred.

ACCEPTANCE CRITERIA

Every client with an ongoing relationship in the period receives a statement. Completeness is asserted against the client book, not against the dispatch queue: a client omitted from the queue must appear as an exception. A client who closed the relationship mid-period receives a statement covering the part-period.

MC-05 Client categorisation and the protections that follow it — Both

MiFID II Articles 24 to 25 and Annex II; UK: FCA Handbook COBS

Clients must be categorised as retail, professional or eligible counterparty. Where a client elects to be treated as professional, the qualitative and quantitative conditions must be satisfied.

ACCEPTANCE CRITERIA

An elective opt-up is refused where the conditions are not met, with the failing condition named. Re-categorising a client switches the associated protections in the same transaction: a client moved from professional to retail immediately receives suitability reporting and the retail costs disclosure. A protection that switches on the next login rather than immediately is a failure.

MC-06 Product governance and target market — Both

MiFID II Articles 16(3) and 24(2); Commission Delegated Directive (EU) 2017/593; UK: FCA Handbook PROD

Each product must carry an identified target market and negative target market, distribution must be consistent with them, and distributors must provide sales information back to manufacturers.

ACCEPTANCE CRITERIA

A sale to a client falling in the negative target market is blocked, or permitted only with a recorded override carrying a reason and an approver. A product with no target market defined cannot be made available for distribution. The sales data feed to the manufacturer runs on schedule and a missed period raises an exception.

MC-07 Transaction reporting by close of the following working day — EU

MiFIR Article 26(1)

Complete and accurate details of transactions must reach the competent authority, directly or through an approved reporting mechanism or trading venue, no later than the close of the following working day.

ACCEPTANCE CRITERIA

A transaction executed on the Friday before a Monday public holiday is due at close on the Tuesday. The working-day calendar is the applicable one for the reporting jurisdiction. A report submitted at the cut-off passes; one minute after fails. Reports rejected by the receiving system are re-submitted within the same deadline, not treated as delivered.

MC-08 Transaction report content against the current standard — EU

MiFIR Article 26(2); Commission Delegated Regulation (EU) 2017/590

Reports must validate against the field set of the technical standard currently in force, which was reviewed in June 2025 and left unamended.

ACCEPTANCE CRITERIA

Reports validate against the unamended field set. Instrument scope covers instruments admitted to trading on a venue, instruments whose underlying trades on a venue, and index or basket underlyings. A build that anticipates amended fields produces reports the receiving system rejects, so the validation schema version is asserted explicitly in the test.

MC-09 No payment for retail order flow — EU

MiFIR Article 39a

Investment firms acting for retail clients must not receive any fee, commission or non-monetary benefit for forwarding orders to a particular execution venue.

ACCEPTANCE CRITERIA

No venue-linked inducement can be configured against a retail order routing rule. The national transitional exemption expired on 30 June 2026, so any residual exemption flag in the routing configuration must be absent. A configuration carrying such a flag fails the control regardless of whether it is active.

MC-10 Recording of telephone and electronic communications — Both

MiFID II Article 16(7); Commission Delegated Regulation (EU) 2017/565 Article 76; UK: FCA Handbook SYSC 10A

Telephone conversations and electronic communications relating to the reception, transmission and execution of orders must be recorded, retained and retrievable.

ACCEPTANCE CRITERIA

A recording exists for every order-related communication and is linked to the client and the order. Retrieval by order reference returns the recording. A communication on a channel the firm permits but does not record is a failure of this control, so the permitted-channel list and the recorded-channel list are asserted to be identical.

MC-11 UK rule resolution after the organisational regulation was repealed — UK

FCA Handbook SYSC and COBS, following PS25/13

From 23 October 2025, firm-facing organisational and conduct requirements formerly in the EU organisational regulation are Handbook rules.

ACCEPTANCE CRITERIA

UK control metadata, policy references and generated compliance artefacts cite Handbook rules, not articles of the repealed regulation. A scan of generated artefacts for references to the regulation's article numbering returns no results for records dated on or after 23 October 2025. The restatement was stated to carry no policy change, so behaviour is expected to be unchanged; only the citation moves.

MC-12 UK consumer composite investment disclosure cut-over — UK

FCA Handbook Product Disclosure sourcebook, following PS25/20

From 6 April 2026 a manufacturer may produce the new product summary or continue under the existing regime. From 8 June 2027 only the new product summary is valid.

ACCEPTANCE CRITERIA

Both branches work during the transition and the correct one is selected by date. On 8 June 2027 the legacy branch is refused. Products outside the new regime's scope, including vanilla corporate bonds, pension products and pure protection, continue on their own basis and are not swept into the new format.

MC-13 Order execution policy content — EU, from 12 February 2028

Commission Delegated Regulation (EU) 2026/825

Execution policies must be structured by asset class with pre-selected venues, monitoring against comparison data sets including consolidated tape data where available, and an annual effectiveness review.

ACCEPTANCE CRITERIA

This control is dated. It is built and tested ahead of the application date but must not be asserted as a current obligation before 12 February 2028. The policy exists per asset class, names pre-selected venues, records a monitoring comparison, and carries a dated annual review. Retirement of the former execution quality and top-venue reports is a separate assertion: those generators must be removed, not merely disabled.

5. Control requirements — Part C: retail outcomes (UK)

The Consumer Duty applies to the UK entities across advice, discretionary management and platform services. The controls below are the wealth-specific subset; the firm's full Consumer Duty control set is held separately.

CD-01 Fair value assessment gates distribution

PRIN 2A.4.2R

A product or service must not be distributed where its fair value assessment is absent, expired or failed.

ACCEPTANCE CRITERIA

A model portfolio, advice service or platform charge structure with no current assessment cannot be selected in the advice journey. The block applies to ongoing service charges as well as to product selection, since an ongoing charge is the firm's own product.

CD-02 Ongoing service delivered where charged for

PRIN 2A.4 and PRIN 2A.6

Where an ongoing advice charge is levied, the service that charge pays for must be delivered.

ACCEPTANCE CRITERIA

For every client paying an ongoing charge, the platform records whether the contracted service events occurred in the period. A client charged through a period with no recorded service event appears on an exception report. The exception is raised by the platform, not left to a manual review.

CD-03 No unreasonable barriers to exit

PRIN 2A.6.2R(4)

Clients must not face unreasonable barriers when switching, transferring out, complaining or cancelling.

ACCEPTANCE CRITERIA

The transfer-out and cancellation journeys are measured against the onboarding journey on step count, elapsed time and available channels. An exit journey requiring more steps, more elapsed time, or fewer channels than onboarding fails. A service that can be bought online but cancelled only by post fails on channel availability alone.

CD-04 Communications tested and adapted for vulnerability

PRIN 2A.5.8R and PRIN 2A.5.10R

Communications must be tested before issue, monitored afterwards, and take account of characteristics of vulnerability.

ACCEPTANCE CRITERIA

A template cannot be published without a completed test record. A client carrying a vulnerability characteristic receives the adapted variant across every channel, and a channel unable to serve the adapted variant routes elsewhere rather than falling back to the standard one.

CD-05 Outcomes monitoring and the annual board report

PRIN 2A.9.8R and PRIN 2A.8.4R

Outcomes must be monitored regularly, and the governing body must review and approve an annual assessment.

ACCEPTANCE CRITERIA

A monitoring run completes per product per period, and the annual report draws its figures from those runs with traceable lineage. A figure in the report that cannot be traced to a monitoring run is a failure, because it cannot be evidenced.

6. Cross-regime notes

Jurisdiction is a test dimension, not a configuration detail. The same functional requirement resolves to different source rules, different citations and sometimes different behaviour depending on which entity is acting. Every conduct control above should be executed twice, once per jurisdiction, with the expected citation asserted alongside the expected behaviour.

Dated controls need a clock, not a flag. Three controls in this document are keyed to future dates: MC-12 at 8 June 2027, MC-13 at 12 February 2028, and the transition arrangements around them. Testing these by toggling a feature flag proves the code path works but not that the date logic does. Both must be tested.

Resilience failures surface as conduct failures. An ICT incident that prevents an annual costs statement from being issued is an OR-series incident and an MC-04 breach at the same time. The incident record and the conduct exception should be linkable.

7. Open items

Item	Question	Disposition
OI-01	Whether Article 12 of the resilience regulation states explicit recovery time and recovery point objectives.	The article's segregation, backup scope and frequency, and redundancy requirements were confirmed. Explicit recovery objective wording was not. OR-09 does not assert it.
OI-02	The Level 1 paragraph numbering cited in Part B for MiFID II Articles 16, 24, 25, 27 and Annex II.	Given from standard practice. The delegated regulation article headings were confirmed. Have a compliance reviewer verify the Level 1 paragraph numbers against the consolidated text before external use.
OI-03	The count of designated critical ICT third-party providers.	Designation occurred on 18 November 2025. Secondary sources give a count that the official release does not state. No count is asserted here.
OI-04	Whether the proposed single entry point for cyber incident reporting will change OR-01 to OR-03.	A proposal only, not law. No control is built to it.
OI-05	Sign-off owner for regulatory references shown to clients or used in marketing.	Unassigned. Escalate before any external use.

8. Revision history

Version	Date	Change
1.0	20 February 2025	First issue following the resilience regulation's application date.

Version	Date	Change
1.5	14 November 2025	UK controls re-cited to the Handbook after the organisational regulation was repealed.
2.0	22 April 2026	Consumer composite investment transition added. Jurisdiction labelling introduced after a test matrix produced false passes.
2.4	18 August 2026	Order execution policy standard added as a dated control with its 2028 application date stated.
2.6	25 September 2026	Corrections section added. Transaction reporting confirmed unchanged. Cross-regime notes added.

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